

CHAPTER 3

Resource mobilization in Andhra Pradesh – Budgetary resources and constraints - Fulfilment of the conditions of A.P Bifurcation Act – central assistance and issues of conflict - public debt and projects of external assistance - Physical resources - Mineral and forest resources – Water disputes with neighbouring states

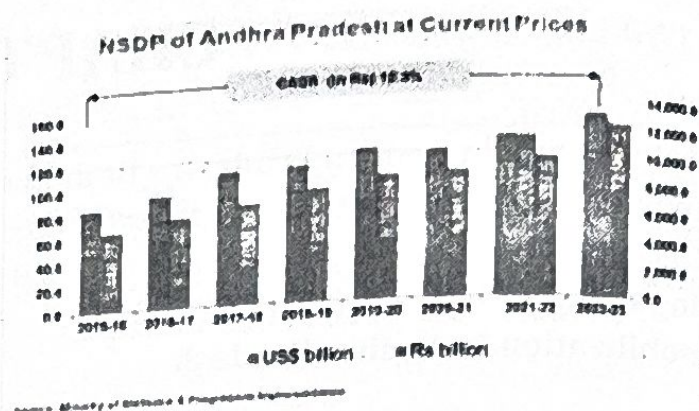
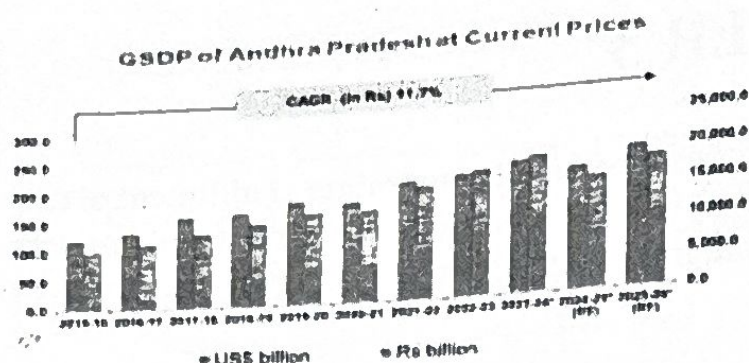
Resource mobilization in Andhra Pradesh

It involves the collection of funds to support the state's budgetary requirements, including various developmental and welfare programs. Like any state, Andhra Pradesh faces both opportunities and constraints when it comes to budgetary resources. Here is an overview of the budgetary resources and constraints in Andhra Pradesh:

- However, the state's finances have been under tremendous stress due to increasing interest payments, welfare commitments and establishment cost, and loss of the capital city as a major commercial hub.

According to the state officials, this fiscal stress is the result of increasing expenditure commitments, which is lesser than the promised or anticipated flow of funds from the Union government.

1. **Tax Revenues:** Tax revenues are a significant source of income for the state. Andhra Pradesh collects revenue through various taxes, including income tax, sales tax (now GST), property tax, excise duty, and others. The growth of the state's economy and the expansion of the tax base can lead to increased tax revenues.
2. **Central Grants:** The state receives financial assistance from the central government in the form of grants for specific projects and programs. These grants can be substantial and can support various initiatives in the state.
3. **Borrowings:** Andhra Pradesh can raise funds through borrowing, such as loans from financial institutions and the issuance of bonds. Borrowing allows the state to finance capital projects and infrastructure development.
4. **State-Owned Enterprises:** Profits and dividends from state-owned enterprises and public-sector units contribute to the state's revenue. These enterprises can generate income for the government when managed efficiently.
5. **Natural Resources:** The state can generate revenue from the exploitation of natural resources like mining, agriculture, and forestry. Sustainable management of these resources is vital for revenue generation.
6. **Public-Private Partnerships (PPPs):** Promoting PPPs can attract private sector investments in infrastructure projects, which can contribute to budgetary resources.



Budgetary Constraints:

- Fiscal Deficit:** Maintaining fiscal discipline is essential. Excessive spending without corresponding revenue growth can lead to a fiscal deficit, which can be detrimental to the state's financial health.
- Economic Downturns:** Economic fluctuations and recessions can affect tax revenues, making it challenging to meet budgetary requirements. Diversifying the economy and reducing dependency on specific sectors can mitigate this risk.
- Debt Burden:** Excessive borrowing can lead to a high debt burden, which requires repayment and interest payments, diverting resources from other essential services.
- Administrative Challenges:** Efficient tax collection and reducing leakages require a robust administrative system. Overcoming bureaucratic hurdles and improving governance can be challenging.
- Political Factors:** Political factors can influence resource allocation and budgetary decisions, sometimes leading to suboptimal resource utilization.
- Global Factors:** Global events, such as fluctuations in oil prices or changes in international trade policies, can affect the state's revenue from sectors like exports and imports.
- Environmental Constraints:** Environmental regulations and concerns may limit the exploitation of certain natural resources, affecting revenue generation.
- Social Welfare Demands:** Meeting the demands of various social welfare programs and public services can strain the budget, particularly in a populous state like Andhra Pradesh.
- Infrastructure Development:** The need for substantial investments in infrastructure, such as roads, ports, and power generation, can put pressure on the state's finances.
- Demographic Factors:** A growing population can lead to increased demand for public services, including healthcare, education, and social security, which can strain resources.

Fulfilment of the conditions of A.P Bifurcation Act – Central assistance and issues of conflict

Introduction: The Andhra Pradesh Bifurcation Act of 2014 marked a significant moment in India's federal structure as it laid out the framework for the division of the state of Andhra Pradesh into two separate entities - Andhra Pradesh and Telangana. Beyond the territorial division, the Act encompassed a multitude of provisions addressing the allocation of resources, assets, liabilities, central assistance, public debt, and projects of external assistance between the two states. In this response, we will explore the main points related to the fulfilment of conditions outlined in the Act and provide relevant data where available.

Central Assistance: The Act recognized the unique challenges faced by both Andhra Pradesh and Telangana post-bifurcation, particularly the revenue deficit incurred by Andhra Pradesh due to the loss of Hyderabad as the common capital. To mitigate this, the Act provided for special central assistance to both states.

Fulfilment of Conditions: Central assistance has been a contentious issue. Andhra Pradesh has argued that the promised financial support from the central government has not been fully realized. Data from fiscal years after the bifurcation indicates that while some funds were disbursed, there have been ongoing disputes regarding the quantum and timing of this assistance. For example, in FY 2019-20, Andhra Pradesh received Rs. 2,500 crore as special assistance, but it had sought a larger allocation.

Central Assistance:

1. **Revenue Deficit Grant:** The Act mandated the central government to provide a revenue deficit grant to Andhra Pradesh, ensuring its fiscal stability in the aftermath of the bifurcation. The grant aimed to bridge the revenue gap arising from the loss of revenue-generating regions to Telangana. To date, the central government has disbursed this grant, albeit with occasional delays. The significance of this financial support in sustaining Andhra Pradesh's fiscal health cannot be overstated. However, concerns have arisen regarding the consistency and timeliness of these disbursements.
2. **Special Development Package:** The Act also laid the foundation for a Special Development Package to be implemented in both Andhra Pradesh and Telangana, with a specific emphasis on uplifting underdeveloped regions in both states. These packages encompassed a wide array of sectors, including infrastructure development, industrial growth, education, healthcare, and more. While implementation efforts have been launched, there have been difficulties in monitoring and expediting the execution of these projects, resulting in some delays in achieving the intended objectives.

Issues of Conflict:

1. **Distribution of Assets and Liabilities:** The allocation of assets and liabilities between Andhra Pradesh and Telangana has been a persistent point of contention. This includes the division of government buildings, institutions, and other resources. Ongoing disputes over the sharing of vital water resources such as the Krishna and Godavari rivers have further complicated matters. Legal battles are still ongoing, demanding a resolution to these intricate and intricate issues.
2. **Polavaram Project:** The Polavaram irrigation project, straddling both states, has emerged as a significant flashpoint. Disputes have arisen over funding mechanisms, design alterations, environmental concerns, and the rehabilitation of displaced communities. The Polavaram project is a linchpin for irrigation, power generation, and overall regional development. As such, its successful completion remains imperative.
3. **Division of Government Employees:** The Act mandated the allocation and transfer of government employees to their respective states. This process, plagued by complexity, has spawned administrative and personnel-related disputes, and logistical difficulties have marred the fair and equitable distribution of employees.
4. **Capital City Issue:** The location of the new capital city for Andhra Pradesh, Amaravati, has become a protracted matter of discord. Changes in the capital plan, encompassing the decentralization of government functions and funding issues, have generated disputes between the state government and the central government. The establishment of a clear, sustainable, and functional capital city is imperative for effective governance and regional development.

It is paramount for all stakeholders to intensify their collaborative efforts to address these challenges and ensure the seamless implementation of the A.P. Bifurcation Act. Effective communication, cooperation, and a steadfast commitment to the Act's principles are prerequisites for resolving the persisting challenges and facilitating the equitable development and prosperity of both Andhra Pradesh and Telangana.

Public debt and projects of external assistance

Public Debt: To ensure equitable financial sharing between the two states, the Act mandated the formation of a committee to determine the apportionment of public debt.

Fulfilment of Conditions: The apportionment of public debt was initiated and mostly completed. However, disputes have arisen over the sharing of certain liabilities. The outstanding issues, including those related to loans taken for irrigation projects and infrastructure development, need to be resolved. As of the latest available data, these disputes remained unresolved, impacting the fiscal health of both states.

Projects of External Assistance: The Act recognized the importance of continuing external assistance-funded projects and laid out mechanisms for their division between Andhra Pradesh and Telangana.

- **2026-27 Public Debt Profile:** Andhra Pradesh's total public debt is projected to reach ₹7,11,094 crore by the end of the 2026-27 financial year, an increase from ₹6,35,177 crore in the prior fiscal year. This debt burden accounts for 36% of the Gross State Domestic Product (GSDP), keeping consistent with the debt-to-GSDP baseline set in 2024-25.
- **PSU-Inclusive Liabilities:** If compiling broader components including public sector undertakings (PSUs), the state's comprehensive liabilities had scaled to ₹9,74,556 crore by mid-2024.
- **2026-27 Annual Deficit Vectors:** Total net borrowings needed to plug the current financial year's gap are budgeted at ₹97,315 crore. This gap includes a targeted annual fiscal deficit of ₹75,868 crore (3.8% of GSDP) alongside an estimated revenue deficit of ₹22,003 crore (1.1% of GSDP).
- Externally Aided Projects are important sources of augmenting the States' resources. They play a significant role in the development process.

Some externally aided projects in Andhra Pradesh include:

- A.P. Irrigation & Livelihood Improvement Project
- Hussain Sagar Lake and Catchment Area Improvement Project
- Modernization & Strengthening of Transmission System in Hyderabad Metropolitan Area Project
- Green National Highways Corridor Project (GNHCP)

The projects are funded by:

- New Development Bank
- Asian Infrastructure Investment Bank
- Japan International Cooperation Agency
- **World Bank** - The development objective of Andhra Pradesh Integrated Irrigation and Agriculture Transformation Project for India is to enhance agricultural productivity, profitability and climate resilience of smallholder farmers in selected districts of Andhra Pradesh. This project has four components.

1) The first component, Improving Irrigated Agriculture Efficiency, aims to enhance the water security of individual farms so as to reduce the risks associated with climate variability. It has the following three subcomponents:

- a) Institutional Strengthening and Capacity Building of Water User Associations (WUAs);
- b) Rehabilitation and Modernization of the Small-Scale Community-Based Irrigation (SSCBI) Systems; and
- c) Improving Water Productivity and Efficiency.

2) The second component, Promoting Climate-Smart Agricultural Practices, aims to increase on-farm productivity and strengthen farmers' resilience to climate change. It has the following two subcomponents:

- a) Support to Climate-Smart Crop Production and Diversification; and
- b) Support to Climate-Smart Aquaculture.

3) The third component, Post-harvest Management, Market and Agribusiness Promotion, aims to enhance the profitability of farmers, both men and women, by improving access to markets and capacity to add value to what they produce.

4) The fourth component, Project Management and Capacity Building, aims to support incremental operational costs, monitoring and evaluation and impact assessments, financial management,

communication, customized Technical assistance (TA), and any special thematic studies identified in the course of the project.

Fulfilment of Conditions: Transitioning and continuing external assistance-funded projects have presented challenges. Proper coordination and adherence to the Act's provisions are vital. As of the last update in September 2022, there were ongoing efforts to ensure the smooth continuation of these projects. The status of specific projects would require the latest data.

Conclusion: In conclusion, the fulfilment of the conditions outlined in the Andhra Pradesh Bifurcation Act is pivotal for the harmonious development of both Andhra Pradesh and Telangana. Resolving conflicts or disputes related to central assistance, public debt, and projects of external assistance is essential for the sustainable growth and well-being of the people in both states. The central government plays a crucial role in facilitating these processes and ensuring that the Act's objectives are met in a fair and equitable manner. Access to updated and accurate data is imperative to track the progress of these critical issues and facilitate informed decision-making.

Physical resources - Mineral and forest resources

Introduction: Andhra Pradesh, located in the southern part of India, boasts abundant physical resources, including mineral and forest resources. These resources play a vital role in the state's economy and environment. In this answer, we will delve into the mineral and forest resources of Andhra Pradesh, backed by relevant data.

Mineral Resources:

1. **Bauxite:** Andhra Pradesh is one of the leading producers of bauxite in India. As of my knowledge cut-off date in September 2022, the state contributed to approximately 7% of the country's total bauxite production.
2. **Limestone:** Limestone is another crucial mineral found in Andhra Pradesh. The state's limestone reserves are concentrated in the districts of Guntur, Krishna, and Nalgonda. These reserves are essential for the cement industry.
3. **Gold:** Andhra Pradesh also hosts significant gold reserves. The Kurnool-Guntur-Cuddapah-Anantapur belt in the southern part of the state is known for gold deposits. These reserves have attracted mining investments.
4. **Mica:** Mica is found in abundance in Andhra Pradesh, particularly in the Nellore district. The state contributes significantly to the national mica production.
5. **Granite:** The state is renowned for its granite resources, with quarries in places like Chittoor, Prakasam, and Kurnool districts. Andhra Pradesh's granite is popular in both domestic and international markets.

Forest Resources:

1. **Diverse Forest Cover:** Andhra Pradesh has a diverse range of forest cover, comprising tropical, deciduous, and mangrove forests. The state's forested area covers approximately 23.4% of its total geographical area.
2. **Teak and Red Sandalwood:** The state is known for its teak and red sandalwood forests. The Seshachalam Hill Range in the Eastern Ghats is famous for red sandalwood, which is highly valuable in the international market.
3. **Mangrove Forests:** Andhra Pradesh is home to extensive mangrove forests along its coastal regions, particularly in the Godavari and Krishna deltas. These mangroves provide vital ecological services and protect the coastline from erosion.
4. **Wildlife:** The forests of Andhra Pradesh are rich in wildlife diversity. The state has several wildlife sanctuaries and national parks, such as Nagarjunsagar-Srisailem Tiger Reserve, which is home to tigers, leopards, and various other species.

5. **Green Cover Baseline:** The baseline green cover metrics have been updated from the historical 23.4% target to reflect a broader **30% total baseline green cover** (combining recorded forest area and trees outside forest parameters).
6. **Harita Andhra Pradesh Targets:** Added explicit 2026 strategic targets from the "Mission Haritha Andhra Pradesh" project, which officially maps an incremental transition to **37% green cover by 2030** and a **50% total coverage target by 2047**.

Challenges and Conservation Efforts:

1. **Deforestation:** One of the major challenges faced by Andhra Pradesh is deforestation due to urbanization, agriculture expansion, and illegal logging. Efforts have been made to combat this through afforestation programs and stricter forest protection measures.
2. **Illegal Sandalwood Trade:** The illegal trade of red sandalwood has been a concern. The state government has implemented measures to curb illegal logging and smuggling.
3. **Conservation Initiatives:** Andhra Pradesh has undertaken various conservation initiatives, such as the Greening Andhra Pradesh Program, aimed at increasing forest cover and protecting biodiversity.

Conclusion: Andhra Pradesh's mineral and forest resources are invaluable assets for the state's economic development and ecological balance. However, sustainable management and conservation efforts are crucial to ensure the long-term availability of these resources while safeguarding the environment.

Water disputes with neighbouring states

Introduction: Water disputes are a common occurrence in India, primarily due to the uneven distribution of water resources among states. Andhra Pradesh, situated in the southern part of the country, has faced its fair share of water conflicts with neighbouring states.

1. Krishna River Water Dispute:

- **Background:** The Krishna River, one of the major rivers in South India, flows through multiple states, including Andhra Pradesh, Karnataka, and Maharashtra. A long-standing dispute exists over the sharing of Krishna river water among these states.
- **Interim Telugu Split:** Prior to a final verdict, the interim water-sharing arrangement between Andhra Pradesh and Telangana stands at a **66:34 ratio**. [1]
- **Active Conflict Vectors:** In **January 2025**, the Andhra Pradesh government formally rejected Telangana's demand for a 50:50 parity split. Furthermore, during the early 2026 tribunal hearings, Andhra Pradesh legally challenged Telangana's claims that urban modernization under the Capital Region Development Authority (CRDA) should reduce AP's baseline agricultural water allocation requirements.
- **Data:** According to the Bachawat Tribunal Award (1976), Andhra Pradesh was allocated 811 TMC (thousand million cubic feet) of water from the Krishna River. However, disputes regarding the utilization and distribution of this allocated share have persisted, leading to tensions among the states.

Constitutional Measures: The Interstate River Water Disputes Act, 1956, provides for the adjudication of water disputes between states. In the case of the Krishna River dispute, the central government constituted the Bachawat Tribunal in 1969, which made recommendations for the allocation of water among riparian states.

Government Measures: The central and state governments have been involved in negotiations and discussions to implement the tribunal's recommendations. Additionally, various agreements and Memorandums of Understanding (MoUs) have been signed between Andhra Pradesh, Karnataka, and Maharashtra to ensure water-sharing arrangements.

2. Godavari River Water Dispute:

- **Background:** The Godavari River is another crucial water resource shared among several states, including Andhra Pradesh, Telangana, Maharashtra, and Chhattisgarh. Disputes over the equitable distribution of Godavari river waters have been a source of contention.
- **Data:** The Godavari Water Disputes Tribunal (GWDT) allocated a certain amount of water to each state. Andhra Pradesh was allocated a share of 949 TMC of water from the Godavari River. However, the actual distribution and utilization of this allocated share have been a subject of dispute.
- **Litigation Vectors:** Friction has reached a peak over AP's **Polavaram-Banakacherla Link Project (PBLP)**. Telangana filed a **Supreme Court Writ Petition** objecting to AP's unilateral tenders and seeking to block central clearances and financial distributions by the Polavaram Project Authority (PPA).

Constitutional Measures: The Godavari Water Disputes Tribunal (GWDT) was constituted in 1969 under the Interstate River Water Disputes Act, 1956, to address the Godavari river water dispute. The tribunal issued its final award in 1980, allocating water shares to Andhra Pradesh, Telangana (then part of undivided Andhra Pradesh), Maharashtra, and Madhya Pradesh.

Government Measures: The respective state governments have been working to implement the GWDT award and resolve any ongoing issues related to water-sharing. Bilateral discussions, coordination committees, and joint projects have also been initiated to optimize water utilization.

3. Polavaram Project Controversy:

- **Background:** The Polavaram Project is a multipurpose irrigation and hydroelectric dam located on the Godavari River in Andhra Pradesh. It has been a point of contention between Andhra Pradesh and Odisha, as well as Chhattisgarh. The project has the potential to impact the flow of the Godavari River downstream, affecting neighbouring states.
- **Data:** The construction of the Polavaram Project has faced opposition and legal challenges from Odisha and Chhattisgarh, which raised concerns about its impact on their territories. The dispute has been a subject of legal and political discussions.
- **Financial Allocations:** The project is being executed at an estimated total cost exceeding ₹62,000 crore. In the 2026-27 Andhra Pradesh Budget, the state allocated a dedicated ₹6,105 crore to expedite civil works, which is heavily supplemented by matching Central Government budget outlays.
- **Active Inter-State Litigation:** Legal friction reached a peak over AP's proposed **Polavaram-Banakacherla Link Project (PBLP)**, designed to lift 200 TMC of Godavari floodwater down into the Rayalaseema region. On **July 13, 2026**, the Supreme Court formally declined an injunction request filed by Telangana to freeze work, citing procedural omissions and directing the states to settle technical design disputes internally via central bodies.

Constitutional Measures:

The Polavaram Project, being a major interstate project, requires clearance from the Central Water Commission (CWC) and the Ministry of Environment, Forest and Climate Change. The project's design and execution must conform to the inter-state agreement and the relevant environmental laws.

Government Measures: The central and state governments have been working to address the concerns raised by Odisha and Chhattisgarh regarding the Polavaram Project. Consultations, dialogues, and periodic reviews have been conducted to ensure that the project proceeds in accordance with agreed-upon terms.

4. Telugu Ganga Project:

- **Background:** The Telugu Ganga Project is a canal system that diverts water from the Srisailem Dam on the Krishna River to supply drinking water to Chennai in Tamil Nadu and other areas in Andhra Pradesh. Tamil Nadu has raised objections about the project, claiming that it reduces the flow of water to their state.

- **Historical Sharing Clarified:** The project relies on an agreement where the three riparian basin states—Maharashtra, Karnataka, and undivided Andhra Pradesh—each contributed 5 TMC, totaling **15 TMC of Krishna water** at the source to meet the drinking water needs of non-riparian Tamil Nadu. Transmission losses reduce this to a net target delivery of **12 TMC annually** at the Tamil Nadu border.
- **Emergence of a New Basin Conflict:** The post-bifurcation dispute landscape has shifted. Rather than just a friction point between AP and Tamil Nadu, the conflict has intensified before **KWDT-II**. Telangana has legally challenged Andhra Pradesh's right to prioritize and reallocate dependable water flows toward the **Telugu Ganga Project**, arguing it diverts critical resources outside the primary Krishna river basin to the detriment of inside-basin irrigation needs.
- **Operational Dispatches:** Supply management is highly dynamic. Following structural maintenance closures on the Kandaleru-Poondi Canal (KP Canal) in early 2026, Andhra Pradesh **resumed the release of Krishna water to Chennai in May 2026**. However, due to deficit rainfall, water transmission levels dropped to **188 cusecs in July 2026**, prompting immediate high-level technical delegations from Chennai to visit AP to negotiate supplementary emergency releases.
- **Data:** The allocation and utilization of Krishna river waters through the Telugu Ganga Project have been a matter of dispute. Data on the actual volume of water diverted and its impact on downstream states are crucial aspects of this dispute.

Constitutional Measures: The sharing of river waters for the Telugu Ganga Project is governed by agreements and provisions within the **Interstate River Water Disputes Act, 1956**. The allocation of Krishna river water for drinking purposes has been determined through negotiations and legal frameworks.

Government Measures: Both Andhra Pradesh and Tamil Nadu governments have engaged in discussions to address the concerns raised by Tamil Nadu regarding the Telugu Ganga Project. Regular monitoring and compliance with water-sharing agreements are essential aspects of dispute resolution.

Conclusion: Water disputes involving Andhra Pradesh and its neighbouring states are complex and often revolve around the allocation, distribution, and utilization of river waters. These disputes highlight the need for effective water-sharing agreements and mechanisms to ensure equitable access to water resources, while taking into consideration the interests and concerns of all involved parties. Data and legal agreements play a significant role in resolving these disputes and fostering cooperation among states.